

Aarav Textiles Private Limited

CX-2026-0004 · Term Loan · Version 1 · 04 Oct 2026 · STRICTLY CONFIDENTIAL

1. Executive Summary

Refer to credit committee

Aarav Textiles Private Limited, operating in Textiles & Apparel, has applied for a Term Loan of ₹12.00 Cr. The proposal is referred to the credit committee. The internal score of 659 (CX5) implies a one-year probability of default of 7.76%. Principal concerns are Revenue growth -7.7%; Litigation intensity 32; Receivable days 118 days. These are partly mitigated by Fraud risk score 4; Interest coverage 2.53x; Cash-flow volatility 0.10. We recommend an exposure of ₹0 priced at 12.5% p.a., with sizing bound by the dscr capacity.

Credit score 659 / 900	Internal grade CX5	Risk level HIGH	Probability of default (1y) 7.76%
Recommended amount ₹0	Suggested rate 12.5% p.a.	Fraud risk score 4 / 100	Approval likelihood 46%

2. Borrower Profile

Field	Detail
Legal name	Aarav Textiles Private Limited
Constitution	Private Limited
CIN	U17110TZ2008PTC014562
PAN	AAICA6684P
GSTIN	33AAICA6684P1Z0
Incorporated	2008
Sector	Textiles & Apparel
Location	Tiruppur, Tamil Nadu
Promoters / directors	Meena Aravind (DIN 02566781), Aravind Kumar (DIN 02566782)
External rating	BB+/Stable (demo agency)

3. Proposed Facility

Field	Detail
Case reference	CX-2026-0004
Facility	Term Loan
Amount requested	₹12,00,00,000
Tenure	60 months
Purpose	Rooftop solar and compacting machinery to cut conversion costs
Security offered	Mortgage of factory at Avinashi; personal guarantee of promoters
Security value	₹15.00 Cr

4. Financial Analysis

Metric	FY23	FY24	FY25
Revenue	₹98.00 Cr	₹104.00 Cr	₹96.00 Cr
EBITDA	₹11.20 Cr	₹11.80 Cr	₹9.10 Cr
EBITDA margin	11.4%	11.3%	9.5%
PAT	₹3.70 Cr	₹3.90 Cr	₹1.80 Cr
Revenue growth	—	6.1%	-7.7%
Total debt	₹35.00 Cr	₹38.00 Cr	₹41.00 Cr
Net worth	₹27.60 Cr	₹31.50 Cr	₹33.00 Cr

Metric	FY23	FY24	FY25
Debt / EBITDA	3.12x	3.22x	4.51x
Debt / Equity	1.27x	1.21x	1.24x
DSCR	3.73x	1.62x	1.20x
Interest coverage	3.73x	3.58x	2.53x
Current ratio	1.30x	1.28x	1.17x
Receivable days	93	95	118

Figures extracted from uploaded statements; each value carries document/page provenance in CredX.

5. Banking Conduct & GST Compliance

Check	Result	Detail
GSTR-2A/2B vs GSTR-3B	PASS	3B ₹96.00 Cr vs 2A/2B ₹93.50 Cr — variance 2.6% (tolerance 5%).
GSTR-1 vs GSTR-3B	PASS	Outward supplies declared ₹95.20 Cr vs tax paid on ₹96.00 Cr (0.8%).
Bank credits vs GST turnover	PASS	Annualised bank credits ₹91.90 Cr are 81% of GST turnover incl. tax.
Book revenue vs GST turnover	PASS	Financial-statement revenue ₹96.00 Cr vs GST turnover ₹96.00 Cr (0.0%).
Return filing timeliness	WARN	Returns filed up to 2 days late.
GSTIN validity	PASS	1 GSTIN(s) pass checksum and state-code validation.

Statement	Account	Credits	Closing bal.	Bounces	Overdrawn days
bank_statement_Oct24-Mar25.pdf	XXXX2345	₹45.95 Cr	₹62.00 L	1	0

6. Promoter, Litigation & Market Intelligence

5 external items were reviewed for Aarav Textiles Private Limited; overall promoter/company sentiment is negative. Adverse coverage: Tiruppur knitwear exporters report slowdown as US orders soften [1]; Labour / statutory dues dispute — pending (claim ₹0.60 Cr) [5]. Supportive developments: Aarav Textiles adds rooftop solar to cut power costs by 18% [4]; Cotton prices ease; RoDTEP rates extended for apparel exports [2]. Litigation exposure is medium (score 32/100 across 3 matter(s)). Sector view (Textiles & Apparel): outlook weak; key headwind — soft export demand from us/eu retailers.

Litigation risk: MEDIUM · Promoter sentiment: NEGATIVE · Sector outlook: WEAK · Overall external risk: HIGH

- [HIGH] Tiruppur knitwear exporters report slowdown as US orders soften — Tiruppur Textile Times (demo) (demo data)
- [LOW] Cotton prices ease; RoDTEP rates extended for apparel exports — Textile Policy Monitor (demo) (demo data)
- [LOW] Labour court hears wage dispute at Aarav Textiles' Avinashi unit — Labour Courts Digest (demo) (demo data)
- [LOW] Aarav Textiles adds rooftop solar to cut power costs by 18% — Tiruppur Textile Times (demo) (demo data)
- [MEDIUM] Labour / statutory dues dispute — pending (claim ₹0.60 Cr) — Uploaded document: legal_notice_1.pdf

7. Sector & Regulatory Conditions

Textiles & Apparel — outlook WEAK, sector risk band 4/5 (knowledge base 2026.10).

Headwinds

- Soft export demand from US/EU retailers
- Competition from Bangladesh and Vietnam
- Cotton price volatility
- Working-capital intensive with long receivable cycles

Tailwinds

- PM MITRA textile parks
- PLI scheme for MMF and technical textiles
- RoDTEP/RoSCTL export incentives
- India–UK and India–EFTA trade agreements

RBI / regulatory context

- Most units qualify as MSME under RBI priority-sector lending norms
- MSME restructuring history should be checked in CRILC/CIC data
- Export credit eligible for interest equalisation where notified

8. Fraud & Forensic Observations

Fraud risk score 4/100 (LOW). Graph of 6 companies and 7 relationships analysed. No circular trading loops found. GST reconciliation within tolerance.

- No graph or GST forensic alerts.

9. Five Cs of Credit

C	Score	Assessment	Key evidence
Character	71	Adequate	Fraud risk score: 4 (+20 pts); Litigation intensity: 32 (-8 pts); GST mismatch: 2.6% (+4 pts)
Capacity	32	Poor	Interest coverage: 2.53x (+8 pts); Cash-flow volatility: 0.10 (+8 pts); Debt service coverage: 1.20x (+7 pts)
Capital	66	Adequate	Debt / EBITDA: 4.51x (-4 pts); Promoter pledge: 0.0% (+3 pts); Debt / equity: 1.24x (+2 pts)
Collateral	52	Weak	Offered security: Mortgage of factory at Avinashi; personal guarantee of promoters; Collateral coverage: 1.25x (+2 pts)
Conditions	30	Poor	Revenue growth: -7.7% (-11 pts); Sector risk: 4 (-5 pts); Sector: Textiles & Apparel — outlook WEAK

10. Risk Rating & Explainability

Driver	Value	Score impact	Five C
Fraud risk score	4	+20	Character
Revenue growth	-7.7%	-11	Conditions
Interest coverage	2.53x	+8	Capacity
Cash-flow volatility	0.10	+8	Capacity
Litigation intensity	32	-8	Character
Debt service coverage	1.20x	+7	Capacity
Receivable days	118 days	-5	Capacity
Sector risk	4	-5	Conditions
Debt / EBITDA	4.51x	-4	Capital
GST mismatch	2.6%	+4	Character
Promoter pledge	0.0%	+3	Capital
Business vintage	18 yrs	+3	Character
Overlay: Factory operating at 45% capacity during site visit; 6 of 14	analyst note	-18	Capacity
Overlay: Promoter infused ₹3 crore equity in Q1 FY26 to support worki	analyst note	+12	Capital
Overlay: Margin compression	red flag	-6	Capacity
Overlay: Low capacity utilisation	red flag	-10	Capacity
Policy rule	Threshold	Actual	Status
KO-01 Wilful defaulter / RBI defaulter list	Not on list	none	PASS
KO-02 Existing NPA / SMA-2 classification	Standard asset	none	PASS
KO-03 Admitted insolvency proceedings	No CIRP admitted	none admitted	PASS
KO-04 Fraud risk score	< 75	4.0	PASS
KO-05 Debt service coverage	>= 0.90x	1.2	PASS
DV-01 Minimum DSCR	>= 1.25x	1.2	FAIL
DV-02 Maximum Debt / EBITDA	<= 4.0x	4.51	FAIL
DV-03 Maximum Debt / Equity	<= 3.0x	1.24	PASS

Policy rule	Threshold	Actual	Status
DV-04 Minimum current ratio	$\geq 1.10x$	1.17	PASS
DV-05 GST turnover reconciliation	$\leq 10\%$ variance	2.6	PASS
DV-06 Promoter pledge	$\leq 50\%$	0.0	PASS
DV-07 Collateral coverage	$\geq 1.0x$	1.25	PASS
DV-08 Litigation intensity	≤ 60	31.6	PASS
DV-09 Cheque/ECS bounces (6m)	≤ 2	1.0	PASS
DV-10 Going-concern / audit qualification	Clean opinion	none	PASS

Model score 681 = base 657 pts + feature points (exact TreeSHAP attribution, PDO-scaled); overlays -22 pts give final score 659. Model xgb-20261004-131921 (AUC 0.8764).

11. Analyst Observations

2 qualitative observation(s) recorded by the underwriting team.

- Site Visit: Factory operating at 45% capacity during site visit; 6 of 14 knitting machines idle due to soft US orders. (score impact -18 pts)
- Management: Promoter infused ₹3 crore equity in Q1 FY26 to support working capital. (score impact +12 pts)

12. Loan Sizing & Risk-Based Pricing

Method	Eligible amount	Basis
Requested amount	₹12.00 Cr	Applicant request
DSCR capacity □	₹0	EBITDA / 1.35x target DSCR less existing debt service, 5-yr annuity @ 12.50%
Leverage ceiling	₹0	4.00x Debt/EBITDA for grade less existing debt
Security cover	₹12.00 Cr	Collateral value / 1.25x minimum security cover

Pricing component	bps	Rationale
Benchmark (EBLR/MCLR)	+925	Bank's external benchmark lending rate (RBI repo 5.50%)
Credit risk premium (CX5)	+275	Grade-linked spread
Policy deviation premium	+50	2 policy deviation(s) approved at sanction
All-in rate	12.5%	Spread 3.25% over benchmark

Recommended ₹0; binding constraint: DSCR capacity.

13. Recommendation & Conditions

Recommendation: Refer to credit committee — ₹0 at 12.5% p.a. for 60 months.

Basis of recommendation

- Score 659 in referral band (600-659)

Terms & conditions

- Debt-service reserve account (DSRA) of two quarters' instalments
- Leverage covenant: Debt/EBITDA to step down below 3.5x by next annual review

Key risks

- Revenue growth -7.7% (-11 pts)
 - Litigation intensity 32 (-8 pts)
 - Receivable days 118 days (-5 pts)
 - Sector risk 4 (-5 pts)
 - Debt / EBITDA 4.51x (-4 pts)
 - Factory operating at 45% capacity during site visit; 6 of 14 knitting machines idle due to soft US orders. (-18 pts)
 - Low capacity utilisation (-10 pts)
 - Margin compression (-6 pts)
- Mitigants / strengths
- Fraud risk score 4 (+20 pts)
 - Interest coverage 2.53x (+8 pts)

- Cash-flow volatility 0.10 (+8 pts)
- Debt service coverage 1.20x (+7 pts)
- GST mismatch 2.6% (+4 pts)

Annexure — Documents Reviewed

Document	Type	Extraction confidence
annual_report_FY25.pdf	Financial Statement	91%
gst_returns_FY25.pdf	Gst Return	98%
bank_statement_Oct24-Mar25.pdf	Bank Statement	98%
mca_mgt7_extract.pdf	Mca Filing	98%
shareholding_pattern.pdf	Shareholding Pattern	98%
legal_notice_1.pdf	Legal Notice	90%

Generated by CredX on 04 Oct 2026 15:23 UTC. Machine-generated recommendation; final sanction rests with the delegated authority.

Prepared by (Credit Analyst)	Reviewed by (Credit Manager)	Sanctioning Authority
------------------------------	------------------------------	-----------------------